

This category includes precious metals like gold, silver and platinum. Large global investors as well as central banks in some countries are investing in precious metals to hedge against global economic uncertainties.

Gold

Gold is one of the most important precious metal commodity items that is traded in the open market. Because of its importance and the sheer number of transactions, it has been covered as a separate section already in the book.

The value of gold is determined by the market 24 hours a day, nearly seven days a week. Gold trades predominantly as a function of sentiment; though its price is also affected by the laws of supply and demand. This is because new mine supply is vastly outweighed by the sheer size of above-ground — hoarded gold.

Several factors account for an increased desire to hoard the yellow metal. Some of these include Systemic financial concerns (When banks and money are perceived as unstable or political stability is questionable), Inflation (When real rates of return in the equity, bond or real estate markets are negative) and War or political crises.

Silver

Unlike gold, the price of silver swings between its perceived role as a store of value and its very tangible role as an industrial metal. For this reason, price fluctuations in the silver market are more volatile than those in the gold market.

While silver will trade roughly in line with gold as an item to be hoarded (investment demand), the industrial supply/demand equation for the metal exerts an equally strong influence on its price.

Platinum